APPRAISAL REPORT

Oakmont Villas | Sacramento, CA

Subject Property	Oakmont Villas
Address	2947 Industrial Street, Sacramento, CA 90946
Property Rights Appraised	Fee Simple
Effective Date of Value	March 21, 2021
Market Value Conclusion	$56,730,000

Submarket Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Market vacancy for comparable Multifamily product stands at 3.7%, down from 7.4% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Oakmont Villas is located in Sacramento, CA, a market that has recorded 12.9% population growth over the last five years. The Sacramento Multifamily market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 16.16 acres and is generally level with frontage along Industrial Street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 30 curb cuts and the property is served by municipal water and sanitary sewer.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Submarket Analysis

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 5.7% annually over the past 7 years. The Sacramento Multifamily market has experienced absorption of 4400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Rent growth in the submarket has averaged 5.3% annually over the past 5 years. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors. The Sacramento Multifamily market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 6.97% and 6.97%.

Access and Utilities

Access to the site is provided by 4 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 10.10 acres and is generally level with frontage along Industrial Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 2.2 acres and is generally level with frontage along Industrial Street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

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Submarket Analysis

Median household income within a 8-mile radius of the property is approximately $9,000 and has grown 11.1% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Oakmont Villas is located in Sacramento, CA, a market that has recorded 5.0% population growth over the last five years. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 5.33% and 5.33%. The Sacramento Multifamily market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Resident turnover has averaged 7.8% annually with renewal retention above 92.2%.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 26 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 43.43 acres and is generally level with frontage along Industrial Street. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 4.4 acres and is generally level with frontage along Industrial Street.

Supply and Demand

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Market vacancy for comparable Multifamily product stands at 7.1%, down from 5.1% two years ago. Rent growth in the submarket has averaged 6.2% annually over the past 10 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Oakmont Villas is located in Sacramento, CA, a market that has recorded 6.9% population growth over the last five years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 3.9% annually over the past 3 years. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 8.12% and 8.12%. Market vacancy for comparable Multifamily product stands at 9.0%, down from 3.2% two years ago.

Site Description

Access to the site is provided by 26 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 25.25 acres and is generally level with frontage along Industrial Street. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 22.22 acres and is generally level with frontage along Industrial Street. Access to the site is provided by 32 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Submarket Analysis

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Building Systems

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 44 stories. The roof is a 37-year membrane system with an estimated remaining useful life of 4 years. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 37-year membrane system with an estimated remaining useful life of 8 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Construction Details

Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Resident turnover has averaged 13.7% annually with renewal retention above 94.3%. The roof is a 45-year membrane system with an estimated remaining useful life of 5 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 28 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Improvements Description

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Resident turnover has averaged 5.0% annually with renewal retention above 88.6%. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Mechanical systems include rooftop package units and central plant equipment of varying age. Resident turnover has averaged 5.2% annually with renewal retention above 96.1%. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Common area interiors have been refreshed within the last 10 years and are in average to good condition.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Pinecrest Residences	Tampa, FL	03/13/2026	340	$43,545,271	$142,771	7.56%	1984
Lockwood Flats	Louisville, KY	02/19/2023	447	$51,378,381	$168,454	7.78%	2012
Jasper Villas	Savannah, GA	05/20/2026	452	$42,558,334	$139,536	5.20%	2001
Thornton Villas	Orlando, FL	07/28/2022	364	$37,683,354	$123,552	7.77%	2017
Elmhurst Commons	Phoenix, AZ	01/05/2022	169	$77,905,316	$255,427	6.50%	2022
Ivy Villas	Sacramento, CA	01/30/2022	426	$52,725,467	$172,870	5.17%	1985
Kestrel Residences	Phoenix, AZ	06/09/2023	261	$34,830,661	$114,199	7.51%	1982
Ironwood Apartments	Salt Lake City, UT	05/26/2026	412	$26,367,621	$86,451	7.40%	2006
Ivy Lofts	Oklahoma City, OK	03/28/2026	244	$30,324,447	$99,424	7.81%	2013
Stonebridge Terrace	New Orleans, LA	10/14/2025	261	$37,085,459	$121,592	6.59%	2012
Lockwood Terrace	Boise, ID	08/19/2022	406	$74,442,761	$244,075	5.41%	1986
Lantern Villas	Des Moines, IA	07/13/2024	265	$49,934,478	$163,720	5.05%	2013
Raven Lofts	Cleveland, OH	09/30/2024	435	$54,880,197	$179,935	8.18%	2022
Hollis Flats	Allentown, PA	11/07/2024	451	$59,544,032	$195,226	8.02%	2011
Aspen Commons	Cleveland, OH	07/03/2022	182	$30,992,007	$101,613	5.84%	2003
Kestrel Flats	Milwaukee, WI	07/27/2025	256	$33,380,466	$109,444	7.59%	1970
Stonebridge Apartments	Indianapolis, IN	03/24/2024	336	$44,502,646	$145,910	7.25%	2013
Quincy Flats	Detroit, MI	11/29/2025	251	$33,790,667	$110,789	7.53%	1987
Kestrel Villas	Birmingham, AL	09/23/2025	161	$64,925,768	$212,871	8.11%	1979
Calloway Commons	San Antonio, TX	04/29/2023	336	$39,414,538	$129,228	8.09%	2023
Highland Residences	Oklahoma City, OK	03/11/2025	346	$25,396,309	$83,267	7.56%	2021
Crestline Terrace	Boston, MA	05/17/2025	205	$44,923,205	$147,289	5.62%	2018
Wexford Commons	Cincinnati, OH	10/23/2024	164	$56,814,583	$186,277	6.80%	1976
Sable Flats	Birmingham, AL	10/27/2023	229	$36,278,521	$118,946	5.63%	2003
Sterling Lofts	Jacksonville, FL	08/18/2025	153	$67,080,269	$219,935	7.61%	1992
Beacon Residences	Houston, TX	12/17/2024	174	$34,277,128	$112,384	6.48%	1966
Granite Lofts	Grand Rapids, MI	07/30/2025	202	$37,196,074	$121,954	5.22%	2022
Marlow Apartments	Birmingham, AL	11/05/2023	310	$61,955,573	$203,133	5.35%	1979
Beacon Commons	Boston, MA	11/08/2023	439	$31,356,145	$102,807	5.63%	1967
Garnet Residences	Austin, TX	09/21/2022	408	$67,339,407	$220,785	7.50%	1965
Mesa Commons	Raleigh, NC	08/25/2022	306	$74,493,635	$244,241	5.92%	2001
Ivy Lofts	Madison, WI	08/26/2026	250	$69,975,081	$229,426	7.18%	1986
Sterling Residences	Naperville, IL	11/25/2025	192	$48,368,214	$158,584	5.80%	2019
Magnolia Lofts	Riverside, CA	03/09/2026	264	$50,750,987	$166,397	7.22%	2017
Valley Lofts	Louisville, KY	10/28/2025	369	$75,800,342	$248,526	7.23%	1976
Nautilus Terrace	Albany, NY	08/09/2023	402	$35,467,973	$116,288	6.11%	2013
Juniper Residences	Newark, NJ	06/08/2022	200	$51,320,109	$168,263	5.91%	1979
Amberly Villas	Cincinnati, OH	12/25/2023	200	$60,878,372	$199,601	5.55%	1981
Quincy Commons	Las Vegas, NV	04/23/2025	181	$25,995,708	$85,232	7.25%	2012
Beacon Villas	Riverside, CA	01/24/2025	368	$40,301,797	$132,137	7.76%	1985
Ridgeline Apartments	Orlando, FL	07/27/2023	422	$33,220,132	$108,918	6.85%	2020

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Effective gross income for the trailing period was $330,000, representing a 12.8% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Financial Analysis

Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $445,000, representing a 11.4% increase over the prior year. Resident turnover has averaged 5.1% annually with renewal retention above 91.0%. Operating expenses totaled $192,000 or approximately 39.19 per square foot, with real estate taxes representing the largest line item.

Resident turnover has averaged 3.7% annually with renewal retention above 91.3%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x.

Financial Analysis

Operating expenses totaled $96,000 or approximately 27.12 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.68% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Resident turnover has averaged 4.9% annually with renewal retention above 88.0%.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $320,000, representing a 11.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Debt service coverage ratio was 5.02x on a trailing basis against a covenant minimum of 1.20x.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Laurel Apartments	2.6 mi	1970	Bay	$1,181.19	93.9%	1 mo. free
Orchard Terrace	0.7 mi	1981	Unit	$1,210.61	95.9%	None
Yarrow Flats	4.4 mi	1973	2BR	$1,150.96	89.5%	None
Bayview Lofts	0.3 mi	1989	2BR	$1,186.56	92.4%	1 mo. free
Stonebridge Residences	0.4 mi	2008	1BR	$1,178.64	89.3%	None
Amberly Flats	2.5 mi	2015	Suite	$942.01	89.8%	$500
Cedar Residences	0.4 mi	2010	2BR	$985.10	90.9%	$500
Lantern Flats	2.9 mi	1977	Studio	$1,257.63	91.5%	$500
Brookside Lofts	1.9 mi	1990	Unit	$1,201.65	97.5%	None
Tidewater Villas	4.9 mi	1988	Bay	$1,123.72	91.5%	1 mo. free
Vista Apartments	3.6 mi	1981	1BR	$1,183.29	97.4%	1 mo. free
Raven Lofts	0.8 mi	1976	Studio	$1,124.08	87.5%	None
Beacon Residences	3.4 mi	2018	Suite	$1,139.03	97.0%	1 mo. free
Foxglove Residences	1.9 mi	1989	Unit	$1,273.89	92.2%	None
Quarry Residences	0.9 mi	1974	Bay	$1,070.45	89.8%	None
Crestline Lofts	0.5 mi	1973	2BR	$1,256.99	86.9%	1 mo. free
Falcon Apartments	4.0 mi	1982	Inline	$1,036.59	96.3%	None
Granite Lofts	0.6 mi	2001	Bay	$1,215.85	91.7%	None
Ashford Commons	3.1 mi	1981	2BR	$913.81	88.7%	1 mo. free
Lakeshore Lofts	4.2 mi	2003	Unit	$1,063.79	92.4%	$500
Bayview Flats	3.2 mi	1977	1BR	$1,117.11	97.2%	None
Union Villas	4.5 mi	2019	Bay	$931.33	95.0%	None
Riverbend Lofts	1.4 mi	2015	Unit	$1,238.61	90.7%	$500
Thornton Apartments	4.1 mi	2007	Inline	$1,078.10	89.6%	None
Elmhurst Flats	4.2 mi	2006	Unit	$1,199.52	89.2%	None
Ivy Apartments	3.1 mi	2004	2BR	$1,120.29	89.5%	$500
Highland Residences	4.7 mi	1978	1BR	$1,156.58	97.6%	$500
Copper Commons	4.9 mi	2019	Suite	$1,025.50	93.6%	None
Alder Flats	4.0 mi	1983	Bay	$1,133.14	94.6%	1 mo. free
Prairie Terrace	4.8 mi	1980	Inline	$1,139.06	94.8%	$500
Osprey Villas	0.9 mi	2007	Inline	$1,223.86	97.1%	1 mo. free
Aspen Apartments	1.4 mi	1991	Inline	$925.71	89.4%	1 mo. free
Elmhurst Apartments	4.2 mi	2003	Unit	$1,079.56	93.8%	1 mo. free
Heritage Flats	0.9 mi	2010	Bay	$1,090.17	87.2%	None
Prairie Flats	2.3 mi	1998	Unit	$1,111.84	91.2%	1 mo. free
Wexford Residences	0.4 mi	1978	2BR	$1,001.34	92.3%	1 mo. free
Summit Terrace	4.9 mi	2008	Inline	$1,052.08	86.2%	None
Garnet Flats	2.4 mi	2004	Suite	$1,247.39	93.6%	None
Whitaker Apartments	0.6 mi	1970	1BR	$1,031.55	96.9%	None
Stonebridge Commons	1.3 mi	1999	1BR	$1,169.53	96.3%	1 mo. free

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Supply and Demand

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Market vacancy for comparable Multifamily product stands at 12.4%, down from 7.3% two years ago. Resident turnover has averaged 12.6% annually with renewal retention above 94.0%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 7-mile radius of the property is approximately $213,000 and has grown 3.2% annually.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Market vacancy for comparable Multifamily product stands at 12.4%, down from 4.3% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 6.6% annually over the past 5 years. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 4-mile radius of the property is approximately $355,000 and has grown 6.0% annually.

Topography and Flood Zone

Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 11.11 acres and is generally level with frontage along Industrial Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Access to the site is provided by 2 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 8.8 acres and is generally level with frontage along Industrial Street. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 6.4%, down from 4.8% two years ago. Rent growth in the submarket has averaged 5.3% annually over the past 4 years. The Sacramento Multifamily market has experienced absorption of 3900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 7.60% and 7.60%.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 6.0%, down from 5.8% two years ago. The Sacramento Multifamily market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 16.16 acres and is generally level with frontage along Industrial Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 48 curb cuts and the property is served by municipal water and sanitary sewer.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 41.41 acres and is generally level with frontage along Industrial Street.

Demographics and Employment

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Construction Details

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 14 stories. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The roof is a 19-year membrane system with an estimated remaining useful life of 12 years.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 9 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Resident turnover has averaged 7.8% annually with renewal retention above 93.0%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 41 stories. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Building Systems

Common area interiors have been refreshed within the last 6 years and are in average to good condition. Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 17 stories. Mechanical systems include rooftop package units and central plant equipment of varying age. Resident turnover has averaged 10.7% annually with renewal retention above 96.2%.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The roof is a 44-year membrane system with an estimated remaining useful life of 7 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Maple Flats	Allentown, PA	05/19/2025	291	$54,015,420	$177,100	6.94%	1984
Quincy Apartments	Seattle, WA	12/22/2022	457	$31,754,983	$104,115	6.90%	1986
Valley Terrace	Columbus, OH	01/31/2026	204	$61,903,836	$202,963	5.07%	2018
Alder Flats	Nashville, TN	10/06/2025	366	$68,330,479	$224,034	6.85%	2007
Redwood Commons	Buffalo, NY	10/02/2023	235	$51,362,649	$168,402	5.24%	1992
Hawthorne Residences	Memphis, TN	02/29/2024	372	$66,119,191	$216,784	6.24%	2022
Bayview Flats	Baltimore, MD	10/02/2023	454	$65,017,075	$213,171	7.90%	1987
Copper Residences	Dallas, TX	01/02/2024	192	$61,270,324	$200,886	7.34%	2023
Harbor Terrace	Milwaukee, WI	07/20/2023	270	$75,118,962	$246,292	7.56%	1977
Ridgeline Villas	Allentown, PA	08/07/2022	451	$44,175,301	$144,837	6.58%	1975
Gatewood Commons	Charlotte, NC	08/14/2023	222	$33,071,155	$108,430	6.73%	1970
Yarrow Flats	Newark, NJ	01/24/2026	382	$69,749,777	$228,688	6.47%	2001
Hollis Flats	Columbus, OH	01/31/2023	381	$79,346,737	$260,153	5.04%	2009
Alder Residences	Tampa, FL	06/11/2024	350	$50,400,960	$165,249	7.20%	1981
Indigo Commons	Columbus, OH	04/14/2025	409	$44,628,759	$146,324	5.16%	2001
Valley Flats	Seattle, WA	11/08/2022	373	$71,462,897	$234,305	6.74%	2016
Glenview Villas	Buffalo, NY	01/21/2022	207	$26,735,013	$87,656	7.10%	1983
Prairie Residences	Greenville, SC	07/21/2024	395	$68,562,463	$224,795	5.06%	1980
Mesa Terrace	Omaha, NE	08/28/2024	209	$67,433,099	$221,092	5.91%	1970
Laurel Lofts	Phoenix, AZ	07/12/2025	367	$46,091,640	$151,120	5.45%	2005
Prairie Villas	Louisville, KY	05/23/2022	321	$51,025,917	$167,298	6.29%	1989
Mesa Residences	Atlanta, GA	08/26/2025	422	$59,143,602	$193,913	5.27%	1991
Union Lofts	Kansas City, MO	03/23/2022	374	$37,772,375	$123,844	8.07%	1994
Kingsley Commons	Minneapolis, MN	04/20/2026	161	$50,460,696	$165,445	7.36%	1983
Ironwood Commons	San Antonio, TX	05/30/2022	297	$70,008,675	$229,537	7.27%	2011
Dover Commons	Richmond, VA	08/14/2022	171	$56,174,212	$184,178	7.57%	2008
Zephyr Flats	Denver, CO	05/24/2024	422	$75,024,759	$245,983	7.14%	2006
Prairie Terrace	Portland, OR	09/06/2022	329	$70,218,248	$230,224	6.42%	1996
Yarrow Terrace	Savannah, GA	02/07/2026	297	$25,516,502	$83,661	5.61%	2012
Willow Villas	Cleveland, OH	04/04/2024	395	$58,541,828	$191,940	5.13%	2004
Magnolia Lofts	Nashville, TN	07/31/2024	261	$66,353,317	$217,552	6.93%	2005
Kingsley Apartments	Allentown, PA	01/30/2025	419	$51,049,118	$167,374	7.73%	2013
Everett Flats	Dallas, TX	02/03/2022	446	$61,062,000	$200,203	6.41%	1992
Quincy Residences	Boise, ID	09/03/2023	425	$75,834,684	$248,638	7.21%	1975
Elmhurst Residences	St. Louis, MO	06/20/2022	409	$28,481,368	$93,382	6.21%	2017
Aspen Residences	Minneapolis, MN	10/05/2024	429	$58,691,219	$192,430	6.57%	1997
Summit Lofts	Dallas, TX	09/01/2022	197	$72,028,961	$236,161	7.48%	2022
Keystone Commons	Chicago, IL	03/09/2025	325	$63,453,674	$208,045	7.32%	1985
Tidewater Apartments	Oklahoma City, OK	03/21/2025	360	$63,931,724	$209,612	7.64%	2019
Dover Terrace	Boston, MA	03/31/2023	258	$47,741,024	$156,528	6.25%	2008

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Valuation Discussion

The going-in capitalization rate of 6.08% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 2.1% annually with renewal retention above 95.4%. Effective gross income for the trailing period was $29,000, representing a 9.2% increase over the prior year. Debt service coverage ratio was 5.60x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Resident turnover has averaged 10.8% annually with renewal retention above 90.5%. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Debt service coverage ratio was 7.91x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $253,000 or approximately 19.08 per square foot, with real estate taxes representing the largest line item.

Financial Analysis

Operating expenses totaled $94,000 or approximately 29.15 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $156,000, representing a 7.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Resident turnover has averaged 7.5% annually with renewal retention above 94.4%.

Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Effective gross income for the trailing period was $457,000, representing a 12.4% increase over the prior year. Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $243,000 or approximately 17.51 per square foot, with real estate taxes representing the largest line item.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Mesa Villas	1.8 mi	1983	1BR	$969.52	87.6%	1 mo. free
Newport Flats	2.0 mi	1994	Inline	$1,227.70	96.7%	None
Windmill Apartments	2.3 mi	2001	2BR	$1,070.05	90.4%	None
Lantern Flats	4.0 mi	1971	Studio	$1,230.67	95.6%	$500
Lakeshore Residences	1.9 mi	1992	Suite	$962.31	95.8%	None
Harbor Commons	1.9 mi	2022	Unit	$962.06	94.7%	1 mo. free
Vista Residences	2.1 mi	2019	Inline	$1,201.33	90.2%	None
Mesa Villas	2.9 mi	2004	Unit	$972.77	97.4%	None
Calloway Lofts	4.1 mi	1999	2BR	$970.15	89.0%	None
Cobalt Residences	4.4 mi	2017	Suite	$1,070.78	91.9%	1 mo. free
Granite Flats	3.2 mi	2020	Inline	$1,061.86	92.6%	$500
Dunmore Commons	2.6 mi	1992	Inline	$1,157.42	97.8%	$500
Amberly Apartments	1.3 mi	2002	Studio	$1,257.18	92.1%	None
Sterling Lofts	2.6 mi	1978	Inline	$1,183.41	96.9%	$500
Thornton Lofts	1.6 mi	1975	Suite	$938.56	95.9%	$500
Dunmore Terrace	0.7 mi	1993	Inline	$914.25	96.7%	1 mo. free
Whitaker Lofts	0.8 mi	1992	Studio	$1,039.58	96.0%	1 mo. free
Timberline Lofts	4.5 mi	2016	2BR	$1,246.21	96.0%	$500
Nautilus Terrace	3.0 mi	2007	Bay	$1,182.35	97.6%	None
Cedar Lofts	0.3 mi	2014	Studio	$955.64	89.7%	None
Prairie Apartments	3.0 mi	1972	1BR	$1,167.78	93.8%	1 mo. free
Thornton Apartments	3.7 mi	1996	Bay	$917.30	86.5%	1 mo. free
Stonebridge Apartments	2.3 mi	1983	Unit	$1,248.61	91.9%	$500
Glenview Flats	4.5 mi	2010	Bay	$1,225.43	96.6%	1 mo. free
Falcon Flats	1.1 mi	1982	2BR	$1,001.39	96.1%	$500
Nautilus Flats	4.1 mi	1983	1BR	$1,146.83	90.1%	$500
Summit Villas	2.3 mi	1973	Inline	$959.58	86.7%	None
Summit Residences	3.1 mi	2002	Suite	$1,235.19	87.2%	$500
Indigo Terrace	1.7 mi	2006	Unit	$1,253.81	90.5%	1 mo. free
Quincy Terrace	2.8 mi	2018	Bay	$1,278.80	88.6%	None
Quarry Villas	1.4 mi	1987	Bay	$1,286.67	90.3%	None
Amberly Residences	1.1 mi	2012	1BR	$1,272.65	92.7%	1 mo. free
Heritage Commons	0.9 mi	2014	Suite	$1,132.46	90.0%	1 mo. free
Hawthorne Commons	2.1 mi	2017	Suite	$1,008.15	92.5%	None
Osprey Villas	1.4 mi	2011	Unit	$1,212.87	90.6%	$500
Ironwood Villas	1.5 mi	1986	Studio	$1,279.15	90.0%	None
Ashford Terrace	0.7 mi	1981	Suite	$1,106.65	93.0%	None
Beacon Apartments	0.4 mi	2005	Inline	$1,099.22	89.0%	1 mo. free
Dunmore Flats	2.7 mi	2013	Studio	$1,078.93	94.8%	1 mo. free
Bayview Commons	4.8 mi	1991	Unit	$1,224.95	94.0%	None
Driftwood Flats	2.1 mi	2021	2BR	$1,040.65	95.8%	None
Tidewater Villas	4.8 mi	1974	Suite	$1,093.93	88.4%	1 mo. free

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Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 6.11% and 6.11%. Median household income within a 7-mile radius of the property is approximately $368,000 and has grown 8.6% annually. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 8.5%, down from 3.9% two years ago.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 6.46% and 6.46%. Employment growth is led by healthcare, logistics, education and professional services sectors. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Market vacancy for comparable Multifamily product stands at 11.4%, down from 4.3% two years ago.

Access and Utilities

The site contains approximately 23.23 acres and is generally level with frontage along Industrial Street. Access to the site is provided by 8 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

The site contains approximately 48.48 acres and is generally level with frontage along Industrial Street. Access to the site is provided by 36 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Resident turnover has averaged 3.1% annually with renewal retention above 96.6%. Oakmont Villas is located in Sacramento, CA, a market that has recorded 6.2% population growth over the last five years. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 7.08% and 7.08%. Rent growth in the submarket has averaged 3.2% annually over the past 12 years.

Market vacancy for comparable Multifamily product stands at 12.6%, down from 3.8% two years ago. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 4-mile radius of the property is approximately $369,000 and has grown 11.3% annually. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 7.89% and 7.89%. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Rent growth in the submarket has averaged 5.1% annually over the past 4 years.

Access and Utilities

The site contains approximately 15.15 acres and is generally level with frontage along Industrial Street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 10.10 acres and is generally level with frontage along Industrial Street.

Demographics and Employment

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Market vacancy for comparable Multifamily product stands at 6.2%, down from 5.1% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Resident turnover has averaged 7.5% annually with renewal retention above 96.2%. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 7.66% and 7.66%.

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Construction Details

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 4 stories. The roof is a 9-year membrane system with an estimated remaining useful life of 4 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 23 stories. Resident turnover has averaged 5.4% annually with renewal retention above 93.6%. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Common area interiors have been refreshed within the last 11 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Mechanical systems include rooftop package units and central plant equipment of varying age. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 30-year membrane system with an estimated remaining useful life of 7 years.

Improvements Description

Mechanical systems include rooftop package units and central plant equipment of varying age. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The roof is a 28-year membrane system with an estimated remaining useful life of 5 years. Resident turnover has averaged 10.1% annually with renewal retention above 90.3%.

Oakmont Villas was originally constructed in 1996 and consists of 305 apartment homes in a building of 14 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Mechanical systems include rooftop package units and central plant equipment of varying age. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Resident turnover has averaged 10.2% annually with renewal retention above 94.4%.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Oakmont Villas and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on February 23, 2021.

_____

James Quinn, Senior Associate

Stone & Marsh Appraisal

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